(Reference Translation)

October 29, 2024

Japan Exchange Group, Inc. and Consolidated Subsidiaries
Consolidated financial results for the six months ended September 30, 2024
(Based on IFRS), unaudited

Company name:	Japan Exchange Group, Inc.	Stock Exchange Listings:	Tokyo
Code number:	8697	URL:	https://www.jpx.co.jp/english/
Representative:	Yamaji Hiromi, Director & Representative Executive Officer, Group CEO		
Contact:	Takada Masahiro, Director, Corporate Communications		

Scheduled date to file semiannual securities report: November 13, 2024
Scheduled date of start of dividend payment: December 2, 2024
Preparation of supplementary material on financial results: Yes
Holding of financial results briefing: Yes (for institutional investors and analysts)

1. Consolidated financial results for the six months ended September 30, 2024
(from April 1, 2024 to September 30, 2024)

(Figures are rounded down to the nearest million yen)

(1) Consolidated operating results (cumulative)

(Percentages represent changes year on year)

	Operating revenue		Operating income		Income before income tax		Net income		Net income attributable to owners of the parent company		Comprehensive income	
	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%
Six months ended September 30, 2024	81,810	11.5	47,718	7.2	47,726	7.2	33,112	3.3	32,308	2.8	33,060	3.1
Six months ended September 30, 2023	73,385	10.4	44,499	30.4	44,506	30.4	32,040	35.3	31,432	35.5	32,071	35.5

	Basic earnings per share	Diluted earnings per share
	yen	yen
Six months ended September 30, 2024	31.05	–
Six months ended September 30, 2023	30.20	–

Please note that a 2-for-1 stock split was conducted effective October 1, 2024. For this reason, the basic earnings per share are calculated as if said stock split was conducted at the beginning of the previous consolidated accounting year.

(2) Consolidated financial position

	Total assets	Total equity	Total equity attributable to owners of the parent company	Ratio of total equity attributable to owners of the parent company to total assets
	Mil. yen	Mil. yen	Mil. yen	%
As of September 30, 2024	83,153,457	339,803	328,792	0.4
As of March 31, 2024	80,682,627	338,566	328,359	0.4

Note: Sizable amounts of "clearing business financial assets and liabilities" and "deposits from clearing participants" pertaining to the clearing business conducted by consolidated subsidiary Japan Securities Clearing Corporation are included in the assets and liabilities of JPX Group (meaning JPX and its subsidiaries). For JPX Group’s financial position excluding "clearing business financial assets and liabilities" and "deposits from clearing participants," etc., see "1. QUALITATIVE INFORMATION ON OPERATING RESULTS AND FINANCIAL POSITION - (2) Explanation on Financial

Position" on page 4 of the Appendix.

2. Dividends

	Annual dividends per share				
	First quarter-end	Second quarter-end	Third quarter-end	Fiscal year-end	Total
	yen	yen	yen	yen	yen
Year ended March 31, 2024	–	31.00	–	60.00	91.00
Year ending March 31, 2025	–	33.00			
Year ending March 31, 2025 (forecast)			–	17.00	–

Note 1: Change in dividend forecast from the most recent announcement: None

Note 2: Breakdown of year-end dividend for the fiscal year ended March 31, 2024: ordinary dividend ¥40; special dividend ¥20.

Please note that a 2-for-1 stock split was conducted effective October 1, 2024, and the year-end dividend forecast for the fiscal year ending March 31, 2025 is calculated taking said stock split into account.

If the stock split were not considered, the year-end dividend forecast for the fiscal year ending March 31, 2025 would be ¥34.00.

3. Consolidated earnings forecast for the fiscal year ending March 31, 2025 (from April 1, 2024 to March 31, 2025)

(Percentages represent changes year on year)

	Operating revenue		Operating income		Income before income tax		Net income		Net income attributable to owners of the parent company		Basic earnings per share
	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	Mil. yen	%	yen
Year ending March 31, 2025	159,000	4.0	86,000	(1.7)	86,000	(1.6)	59,500	(4.0)	58,000	(4.6)	55.75

Note: Change in earnings forecast from the most recent announcement: Yes

Please note that a 2-for-1 stock split was conducted effective October 1, 2024, and the basic earnings per share in the consolidated earnings forecast for the year ending March 31, 2025 are calculated taking said stock split into account.

If the stock split were not considered, the basic earnings per share in the consolidated earnings forecast for the year ending March 31, 2025 would be ¥111.49.

Notes:
(1) Significant changes in the scope of consolidation during the period: None

(2) Changes in accounting policies/changes in accounting estimates
1) Changes in accounting policies due to revisions in accounting standards under IFRS: None
2) Changes in accounting policies other than the above: None
3) Changes in accounting estimates: None

(3) Number of issued shares (common shares)
1) Number of issued shares at the end of the period (including treasury shares):

As of September 30, 2024:	1,044,578,366
As of March 31, 2024:	1,044,578,366

2) Number of treasury shares at the end of the period:

As of September 30, 2024:	4,154,792
As of March 31, 2024:	3,950,422

3) Average number of shares:

Six months ended September 30, 2024:	1,040,400,140
Six months ended September 30, 2023:	1,040,685,242

Please note that a 2-for-1 stock split was conducted effective October 1, 2024. For this reason, the number of issued shares at the end of the period, the number of treasury shares at the end of the period, and the average number of shares are calculated as if said stock split was conducted at the beginning of the previous consolidated accounting year.

• Second quarter (semiannual) earnings reports are exempt from the requirement for a review conducted by certified public accountants or an audit firm.

• Explanation on appropriate use of forecast and other special items
This material contains an earnings forecast and other forward-looking statements which are based on available information and certain assumptions that are considered reasonable at the time of preparation. Various factors may cause actual results, etc. to be materially different from those expressed in these forward-looking statements.

(Appendix)

Contents of Appendix

1. QUALITATIVE INFORMATION ON OPERATING RESULTS AND FINANCIAL POSITION

(1) Explanation on Operating Results

During the current interim consolidated accounting period (from April 1, 2024 to September 30, 2024), JPX Group recorded operating revenue of ¥81,810 million (increased 11.5% from the same period of the previous fiscal year (i.e., year on year)), and operating expenses were ¥35,022 million (increased 2.0% year on year). As a result, JPX Group recorded operating income of ¥47,718 million (increased 7.2% year on year) and income before income tax of ¥47,726 million (increased 7.2% year on year).

In addition, net income attributable to owners of the parent company after tax was ¥32,308 million (increased 2.8% year on year).

(Operating revenue)

1) Trading services revenue

Trading services revenue comprises "transaction fees" based on the value of cash equities traded or volume of financial and commodity derivatives traded, "basic fees" based on the types of the trading participant’s trading qualification, "access fees" based on the number of orders, "trading system facilities usage fees" based on the types of trading system facilities used, and other similar fees.

During the current interim consolidated accounting period, trading services revenue increased 13.2% year on year to ¥33,479 million due mainly to an increase in revenue from transaction fees resulting from a year-on-year increase in trading value of cash equities.

Breakdown of trading services revenue

(Mil. yen)

	Six months ended September 30, 2023	Six months ended September 30, 2024	
			Change (%)
Trading services revenue	29,577	33,479	13.2
Transaction fees	24,598	28,185	14.6
Cash equities	18,431	22,099	19.9
Financial derivatives	5,476	5,203	(5.0)
TOPIX Futures	1,086	943	(13.2)
Nikkei 225 Futures*	2,205	2,067	(6.3)
Nikkei 225 Options**	1,262	1,140	(9.6)
10-year JGB Futures	830	1,171	41.0
Others	92	(119)	—
Commodity derivatives	689	881	27.9
Basic fees	491	482	(1.8)
Access fees	2,562	2,841	10.9
Trading system facilities usage fees	1,869	1,910	2.2
Others	55	60	9.3

*Figures include Nikkei 225 mini Futures.

**Figures exclude Nikkei 225 Weekly Options.

2) Clearing services revenue

Clearing services revenue comprises clearing fees related to the assumption of obligations of financial instrument transactions carried out by Japan Securities Clearing Corporation and other similar fees.

During the current interim consolidated accounting period, clearing services revenue increased 10.8% year on year to ¥17,455 million.

3) Listing services revenue

Listing services revenue comprises "initial/additional listing fees" that are received based on the issue amount when a company initially lists or when a listed company issues additional shares, "annual listing fees" received from listed companies based on their market capitalization, and other similar fees.

During the current interim consolidated accounting period, listing services revenue increased 9.5% year on year to ¥7,851 million due mainly to an increase in revenue from annual listing fees.

Breakdown of listing services revenue

(Mil. yen)

	Six months ended September 30, 2023	Six months ended September 30, 2024	
			Change (%)
Listing services revenue	7,167	7,851	9.5
Initial/additional listing fees	1,401	1,568	11.9
Annual listing fees	5,765	6,283	9.0

4) Information services revenue

Information services revenue comprises mainly of market information fees, which consist of revenue related to the provision of market information to information vendors, etc., and revenue related to the index business.

During the current interim consolidated accounting period, information services revenue increased 10.2% year on year to ¥16,039 million due mainly to increases in revenue from market information fees and the index business.

5) Other operating revenue

Other operating revenue includes mainly usage fees for arrownet, which connects trading, market information, and other systems to trading participants and other users, and usage fees related to co-location services that allow trading participants, information vendors, and other users to install devices in the system center for the purpose of improving trade execution efficiency by shortening order transmission time.

During the current interim consolidated accounting period, other operating revenue increased 10.4% year on year to ¥6,983 million.

Breakdown of other operating revenue

(Mil. yen)

	Six months ended September 30, 2023	Six months ended September 30, 2024	
			Change (%)
Other operating revenue	6,328	6,983	10.4
arrownet usage fees	1,667	1,794	7.6
Co-location services usage fees	2,495	2,937	17.7
Other	2,165	2,251	4.0

(Operating expenses)
During the current interim consolidated accounting period, personnel expenses increased 7.4% year on year to ¥11,229 million.
System maintenance and operation expenses include expenses related to maintenance and management/operations of various systems including the cash equities and derivatives trading systems. System maintenance and operation expenses increased 8.5% year on year to ¥10,152 million.
Depreciation and amortization increased 0.3% year on year to ¥9,135 million.
Other operating expenses decreased 16.9% year on year to ¥4,504 million.

(2) Explanation on Financial Position
(Assets, liabilities, and equity)
For assets and liabilities of JPX Group, "clearing business financial assets and liabilities" assumed by Japan Securities Clearing Corporation as a clearing organization and "deposits from clearing participants" deposited by clearing participants as collateral are included under both assets and liabilities. "Clearing business financial assets and liabilities" and "deposits from clearing participants" have a large impact on the amount of assets and liabilities of JPX Group due to their sizable amounts and daily fluctuations subject to changes in clearing participants' positions. In addition, "legal guarantee funds," "trading participant security money," and "default compensation reserve funds" based on the rules for securing safety of financial instruments transactions and other transactions are included under both assets and either liabilities or equity.
Total assets as of September 30, 2024 increased by ¥2,470,830 million from the end of the previous fiscal year to ¥83,153,457 million due mainly to an increase in "clearing business financial assets." Excluding "clearing business financial assets," "deposits from clearing participants," "legal guarantee funds," and "default compensation reserve funds," assets decreased by ¥3,713 million from the end of the previous fiscal year to ¥418,110 million.
Total liabilities as of September 30, 2024 increased by ¥2,469,593 million from the end of the previous fiscal year to ¥82,813,653 million due mainly to the same increase in "clearing business financial liabilities." Excluding "clearing business financial liabilities," "deposits from clearing participants," "legal guarantee funds," and "trading participant security money," liabilities decreased by ¥6,554 million from the end of the previous fiscal year to ¥95,765 million.
Total equity as of September 30, 2024 increased by ¥1,237 million from the end of the previous fiscal year to ¥339,803 million, due to a capital increase from net income attributable to owners of the parent company despite a capital reduction mainly as a result of dividend payment. In addition, after excluding "default compensation reserve funds," total equity as of the same date was ¥311,855 million.

Reference

	Total assets	Total equity	Total equity attributable to owners of the parent company	Ratio of total equity attributable to owners of the parent company to total assets
	Mil. yen	Mil. yen	Mil. yen	%
As of September 30, 2024	83,153,457	339,803	328,792	0.4
	*418,110	*311,855	*300,844	*72.0
As of March 31, 2024	80,682,627	338,566	328,359	0.4
	*421,823	*310,618	*300,411	*71.2

Note: Figures marked * under total assets exclude "clearing business financial assets," "deposits from clearing participants," "legal guarantee funds," and "default compensation reserve funds," and those marked * under total equity and total equity attributable to owners of the parent company exclude "default compensation reserve funds."

(3) Explanation on Forecast Information such as Consolidated Earnings Forecast

1) Consolidated Earnings Forecast

In light of recent market conditions, we have revised the average daily trading values and volumes which were the assumptions used in the consolidated earnings forecast in the "Notice of Revisions to Earnings Forecast and Dividend Forecast" disclosed on September 24, 2024 (hereinafter "previously disclosed material") and have revised the consolidated earnings forecast based on this. Specifically, this revision is based on revised assumptions of average daily trading values and volumes (changes from previously disclosed material indicated in parentheses) of ¥5.4 trillion for stocks* (up ¥100 billion), 50,000 contracts for 10-year JGB Futures (up 2,000 contracts), 103,000 contracts for TOPIX Futures (up 1,000 contracts), 185,000 contracts for Nikkei 225 Futures** (down 1,000 contracts), and ¥25.0 billion for Nikkei 225 Options (up ¥0.5 billion).

*The trading value of stocks listed on the TSE Prime, Standard, and Growth Markets and TOKYO PRO Market, and that of ETFs, ETNs, and REITs, etc. (includes auction and off-auction trading)

**Includes Nikkei 225 mini contract volumes converted into large-sized contracts

	Operating revenue	Operating income	Income before income tax	Net income	Net income attributable to owners of the parent company	Basic earnings per share*
	Mil. yen	Mil. yen	Mil. yen	Mil. yen	Mil. yen	yen
Previous forecast (A)	158,500	85,000	85,000	59,000	57,500	55.27
Revised forecast (B)	159,000	86,000	86,000	59,500	58,000	55.75
Change (B – A)	500	1,000	1,000	500	500	
Change (%)	0.3%	1.2%	1.2%	0.8%	0.9%	
(Reference) Consolidated results for the fiscal year ended March 31, 2024	152,871	87,444	87,404	61,953	60,822	58.45

* A 2-for-1 stock split was conducted effective October 1, 2024. For this reason, the basic earnings per share are calculated as if said stock split was conducted at the beginning of the previous consolidated accounting year. If the stock split is not considered, the figures for the previous forecast, revised forecast, and consolidated results for the fiscal year ended March 31, 2024 will be ¥110.53, ¥111.49, and ¥116.89 respectively.

2) Dividend Forecast

There are no revisions to the dividend forecast from the forecast figures announced in previously disclosed material.

JPX adopts a dividend policy with a target payout ratio of approximately 60% tied to business performance while giving due consideration to the importance of internal reserves for the following purposes:

― Maintaining sound financial health as a financial instruments exchange group,
― Preparing for risks as a clearing organization, and
― Enabling JPX Group to pursue investment opportunities to raise the competitiveness of its markets as they arise.

2. CONDENSED CONSOLIDATED FINANCIAL STATEMENTS AND NOTES

(1) Condensed Consolidated Statement of Financial Position

	As of March 31, 2024	As of September 30, 2024
	Mil. yen	Mil. yen
Assets		
Current assets		
Cash and cash equivalents	128,019	86,568
Trade and other receivables	19,550	16,759
Clearing business financial assets	70,741,262	74,068,744
Specified assets for deposits from clearing participants	9,490,971	8,638,056
Specified assets for legal guarantee funds	620	597
Income tax receivables	7,374	—
Other financial assets	110,810	156,910
Other current assets	2,619	2,833
Total current assets	80,501,228	82,970,470
Non-current assets		
Property and equipment	13,199	10,470
Goodwill	71,184	71,184
Intangible assets	32,768	36,712
Retirement benefit assets	791	763
Investments accounted for using the equity method	19,619	20,027
Specified assets for default compensation reserve funds	27,948	27,948
Other financial assets	3,449	3,378
Other non-current assets	5,897	5,790
Deferred tax assets	6,539	6,712
Total non-current assets	181,398	182,987
Total assets	80,682,627	83,153,457

	As of March 31, 2024	As of September 30, 2024
	Mil. yen	Mil. yen
Liabilities and equity		
Liabilities		
Current liabilities		
Trade and other payables	4,233	4,108
Bonds and loans payable	32,500	32,500
Clearing business financial liabilities	70,741,262	74,068,744
Deposits from clearing participants	9,490,971	8,638,056
Legal guarantee funds	620	597
Trading participant security money	8,885	10,488
Income tax payables	17,143	15,800
Other current liabilities	14,165	11,269
Total current liabilities	80,309,783	82,781,566
Non-current liabilities		
Bonds and loans payable	19,980	19,983
Retirement benefit liabilities	8,462	8,559
Other non-current liabilities	5,834	3,543
Total non-current liabilities	34,277	32,087
Total liabilities	80,344,060	82,813,653
Equity		
Share capital	11,500	11,500
Capital surplus	38,840	38,840
Treasury shares	(3,839)	(4,325)
Other components of equity	522	470
Retained earnings	281,336	282,306
Total equity attributable to owners of the parent company	328,359	328,792
Non-controlling interests	10,206	11,011
Total equity	338,566	339,803
Total liabilities and equity	80,682,627	83,153,457

(2) Condensed Consolidated Statement of Income

	Six months ended September 30, 2023	Six months ended September 30, 2024
	Mil. yen	Mil. yen
Revenue		
Operating revenue	73,385	81,810
Other revenue	4,768	147
Total revenue	78,153	81,957
Expenses		
Operating expenses	34,344	35,022
Other expenses	206	2
Total expenses	34,551	35,024
Share of income of investments accounted for using the equity method	896	785
Operating income	44,499	47,718
Financial income	61	81
Financial expenses	54	73
Income before income tax	44,506	47,726
Income tax expense	12,466	14,613
Net income	32,040	33,112
Net income attributable to		
Owners of the parent company	31,432	32,308
Non-controlling interests	607	804
Net income	32,040	33,112
Earnings per share		
Basic (Yen)	30.20	31.05
Diluted (Yen)	—	—

(3) Condensed Consolidated Statement of Comprehensive Income

	Six months ended September 30, 2023	Six months ended September 30, 2024
	Mil. yen	Mil. yen
Net income	32,040	33,112
Other comprehensive income		
Items that will not be reclassified to profit or loss		
Net gain (loss) on revaluation of financial assets measured at fair value through other comprehensive income	31	(51)
Other comprehensive income, net of tax	31	(51)
Comprehensive income	32,071	33,060
Comprehensive income attributable to		
Owners of the parent company	31,463	32,256
Non-controlling interests	607	804
Comprehensive income	32,071	33,060

(4) Condensed Consolidated Statement of Changes in Equity

	Equity attributable to owners of the parent company			
	Share capital	Capital surplus	Treasury shares	Other components of equity
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2023	11,500	38,841	(13,575)	445
Net income	―	―	―	―
Other comprehensive income, net of tax	―	―	―	31
Total comprehensive income	―	―	―	31
Acquisitions of treasury shares	―	―	(3,367)	―
Dividends paid	―	―	―	―
Other	―	(0)	462	―
Total transactions with the owners	―	(0)	(2,904)	―
Balance as of September 30, 2023	11,500	38,840	(16,480)	476

	Equity attributable to owners of the parent company		Non-controlling interests	Total equity
	Retained earnings	Total		
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2023	275,523	312,734	9,075	321,809
Net income	31,432	31,432	607	32,040
Other comprehensive income, net of tax	―	31	―	31
Total comprehensive income	31,432	31,463	607	32,071
Acquisitions of treasury shares	―	(3,367)	―	(3,367)
Dividends paid	(19,371)	(19,371)	―	(19,371)
Other	―	461	―	461
Total transactions with the owners	(19,371)	(22,276)	―	(22,276)
Balance as of September 30, 2023	287,585	321,921	9,682	331,604

	Equity attributable to owners of the parent company			
	Share capital	Capital surplus	Treasury shares	Other components of equity
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2024	11,500	38,840	(3,839)	522
Net income	―	―	―	―
Other comprehensive income, net of tax	―	―	―	(51)
Total comprehensive income	―	―	―	(51)
Acquisitions of treasury shares	―	―	(726)	―
Dividends paid	―	―	―	―
Other	―	―	240	―
Total transactions with the owners	―	―	(485)	―
Balance as of September 30, 2024	11,500	38,840	(4,325)	470

	Equity attributable to owners of the parent company		Non-controlling interests	Total equity
	Retained earnings	Total		
	Mil. yen	Mil. yen	Mil. yen	Mil. yen
Balance as of April 1, 2024	281,336	328,359	10,206	338,566
Net income	32,308	32,308	804	33,112
Other comprehensive income, net of tax	―	(51)	―	(51)
Total comprehensive income	32,308	32,256	804	33,060
Acquisitions of treasury shares	―	(726)	―	(726)
Dividends paid	(31,337)	(31,337)	―	(31,337)
Other	―	240	―	240
Total transactions with the owners	(31,337)	(31,823)	―	(31,823)
Balance as of September 30, 2024	282,306	328,792	11,011	339,803

(5) Notes on Condensed Consolidated Financial Statements

(Note on Going-concern Assumption)

Not applicable

(Operating Revenue)

The breakdown of "operating revenue" is as follows:

	Six months ended September 30, 2023	Six months ended September 30, 2024
	Mil. yen	Mil. yen
Trading services revenue	29,577	33,479
Clearing services revenue	15,755	17,455
Listing services revenue	7,167	7,851
Information services revenue	14,557	16,039
Other	6,328	6,983
Total	73,385	81,810

(Operating Expenses)

The breakdown of "operating expenses" is as follows:

	Six months ended September 30, 2023	Six months ended September 30, 2024
	Mil. yen	Mil. yen
Personnel expenses	10,455	11,229
System maintenance and operation expenses	9,361	10,152
Depreciation and amortization	9,104	9,135
Other	5,423	4,504
Total	34,344	35,022